

Education	7.8%	2.2%	1.8%	3.8%	2.0%	0.6%	0.6%
Tobacco and smoking	0.7%	0.7%	0.6%	0.7%	0.7%	0.5%	0.4%
Miscellaneous	0.6%	1.2%	1.7%	1.5%	1.4%	2.0%	2.0%
Cash contributions	1.2%	1.7%	2.5%	3.4%	3.5%	4.6%	6.0%
Insurance	0.1%	0.2%	0.5%	0.7%	0.8%	0.8%	0.6%
Pensions and Social Security	7.7%	11.3%	11.3%	13.3%	12.2%	6.6%	3.1%

Source: Consumer Expenditure Survey, US Bureau of Labor Statistics, August 2016.

That being said, any conclusions drawn from the CES data should be tempered considerably. For instance, inflation is higher in some spending categories than others. The previous analysis misses this because it considers spending between different age groups in the same year. The CES data shows that health-care spending, for instance, tends to rise over time for given age groups even after adjusting for inflation. Health care has a higher inflation rate than overall consumer price inflation. Ten years later, when the sixty-five-to-seventy-four group joins the ranks of seventy-five and older, we should expect higher health-care spending. By looking at different age groups in the same year, we miss this. It is important to follow the same households over time to be confident that spending declines with age.

Another issue is that even if spending declines on average, certain households may experience rising expenditures with age and would be ill-suited by planning with a general assumption that spending will decline. The CES data represents average trends, but conservative plans will call for preparations beyond what happens in the average outcome.

Retirement Spending Smile

A more recent contribution to the retirement spending debate is David Blanchett's May 2014 article from the *Journal of Financial Planning*, "Exploring the Retirement Consumption Puzzle." Blanchett's "puzzle" concerns how spending tends to decrease both at and during retirement. While this again reflects the average outcome, Blanchett's data set provides some ability to follow the same households over time throughout retirement. He uses real household survey data from the Health and Retirement Study to track the inflation-adjusted spending for retired households between 2001